

Now, this premium amount of ₹10 is Mr. X's outflow and also the maximum loss value. As the price would increase beyond the strike price of 100, the seller will have to start making a payment of the value Exercise Price - Strike Price. However, till the time entire premium is not covered, the option buyer will be in loss. We can see in the graph that there comes a break-even point and if the price of the option continues to increase after that, the buyer will enjoy the profits.

CURRENT MARKET PRICE (CMP)	CMP - STRIKE PRICE - PREMIUM = PROFIT/ LOSS	REMARKS
₹90	$₹90 - ₹100 - ₹10 = (\cancel{₹20}) (₹10)$	Loss of Premium because the buyer will not exercise the option.
₹100	$₹100 - ₹100 - ₹10 = (₹10)$	The buyer will still incur a loss of the value of premium as the option will not be exercised.
₹105	$₹105 - ₹100 - ₹10 = (₹5)$	Losses will decrease as price continues to rise above the strike price.
₹110	$₹110 - ₹100 - ₹10 = ₹0$	Buyer is standing at no profit no loss point i.e. Breakeven point.
₹120	$₹120 - ₹100 - ₹10 = ₹10$	Profit
⋮ ∞		⋮ ∞

THE BUYER CAN HAVE UNLIMITED PROFITS AS THE PRICE OF THE UNDERLYING ASSET CAN INCREASE TO ANY AMOUNT.